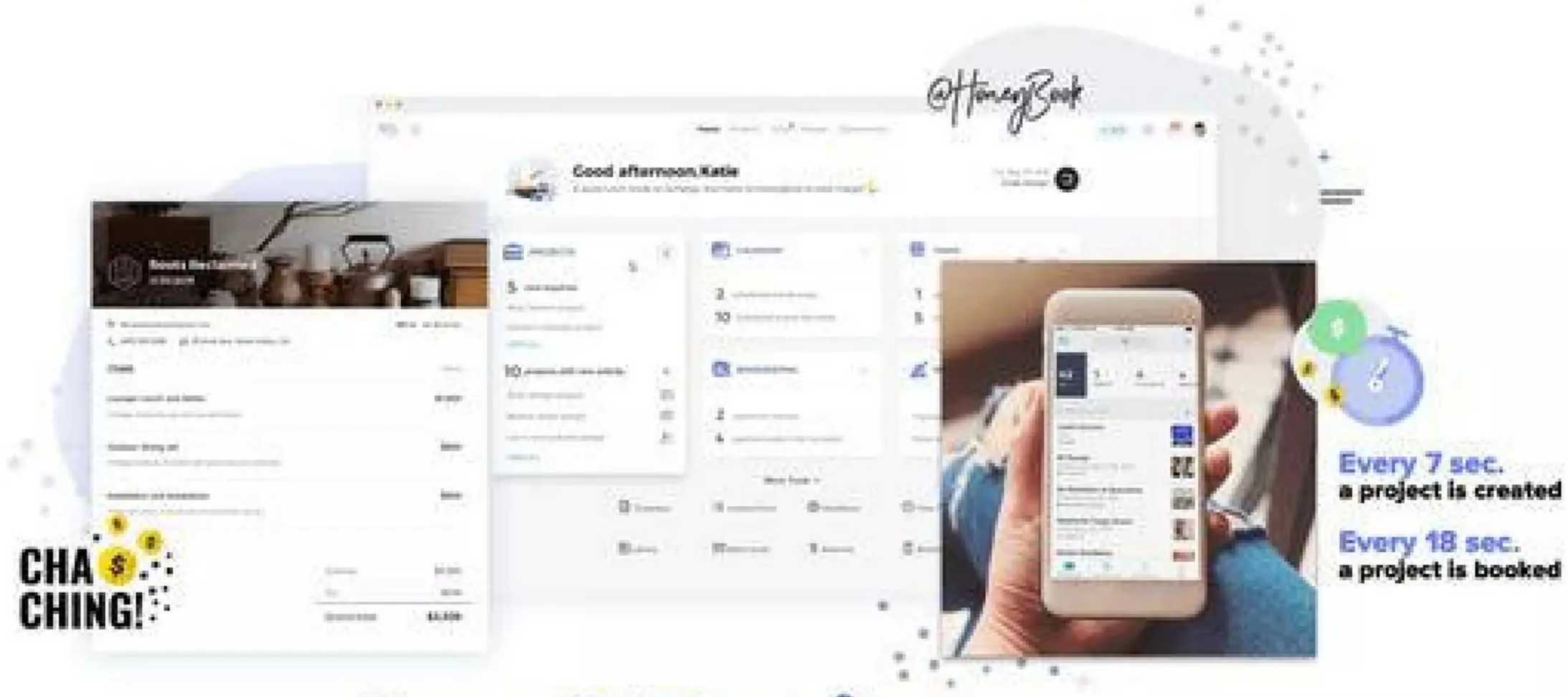
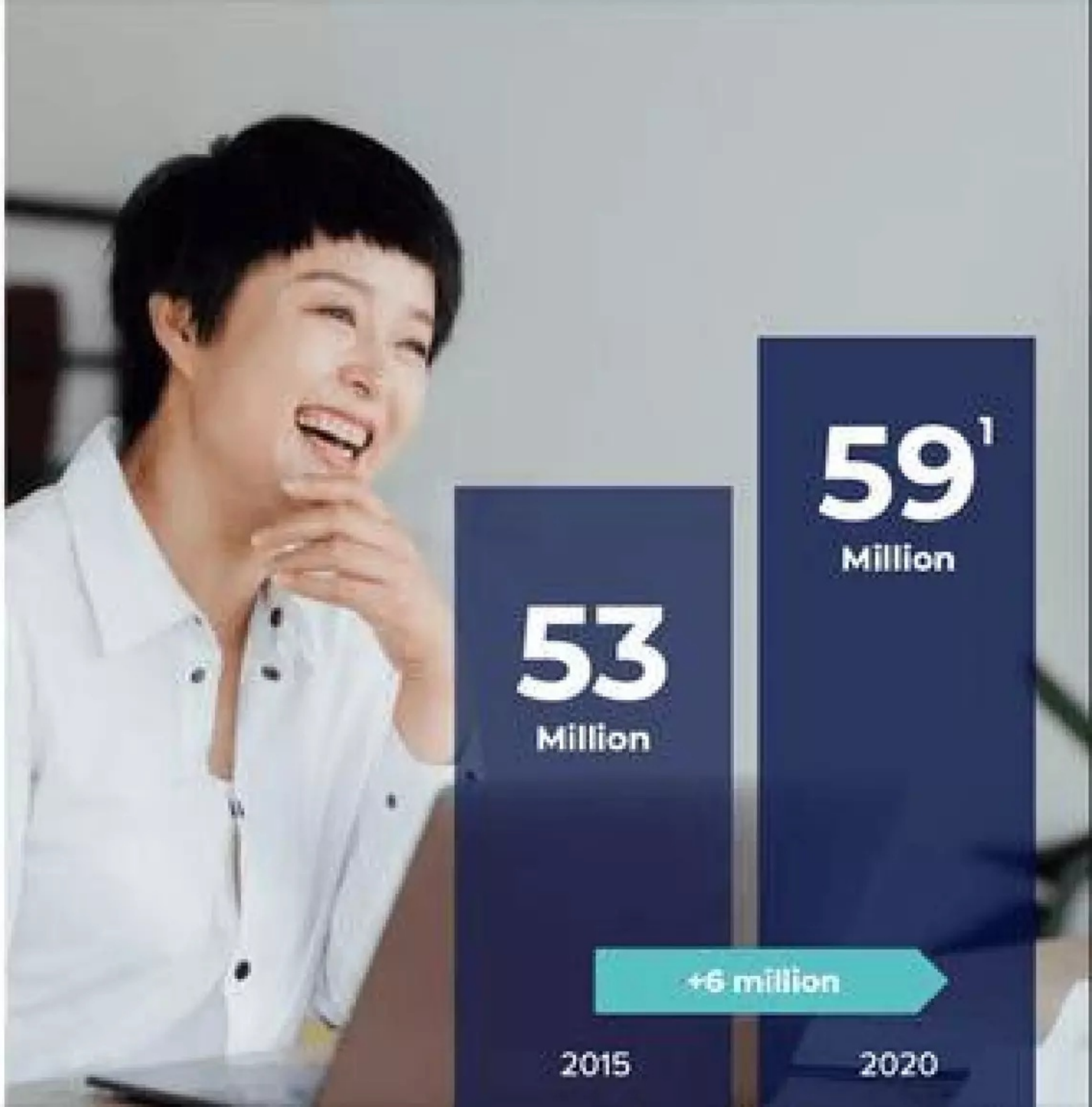
HoneyBook



Small Business management reinvented

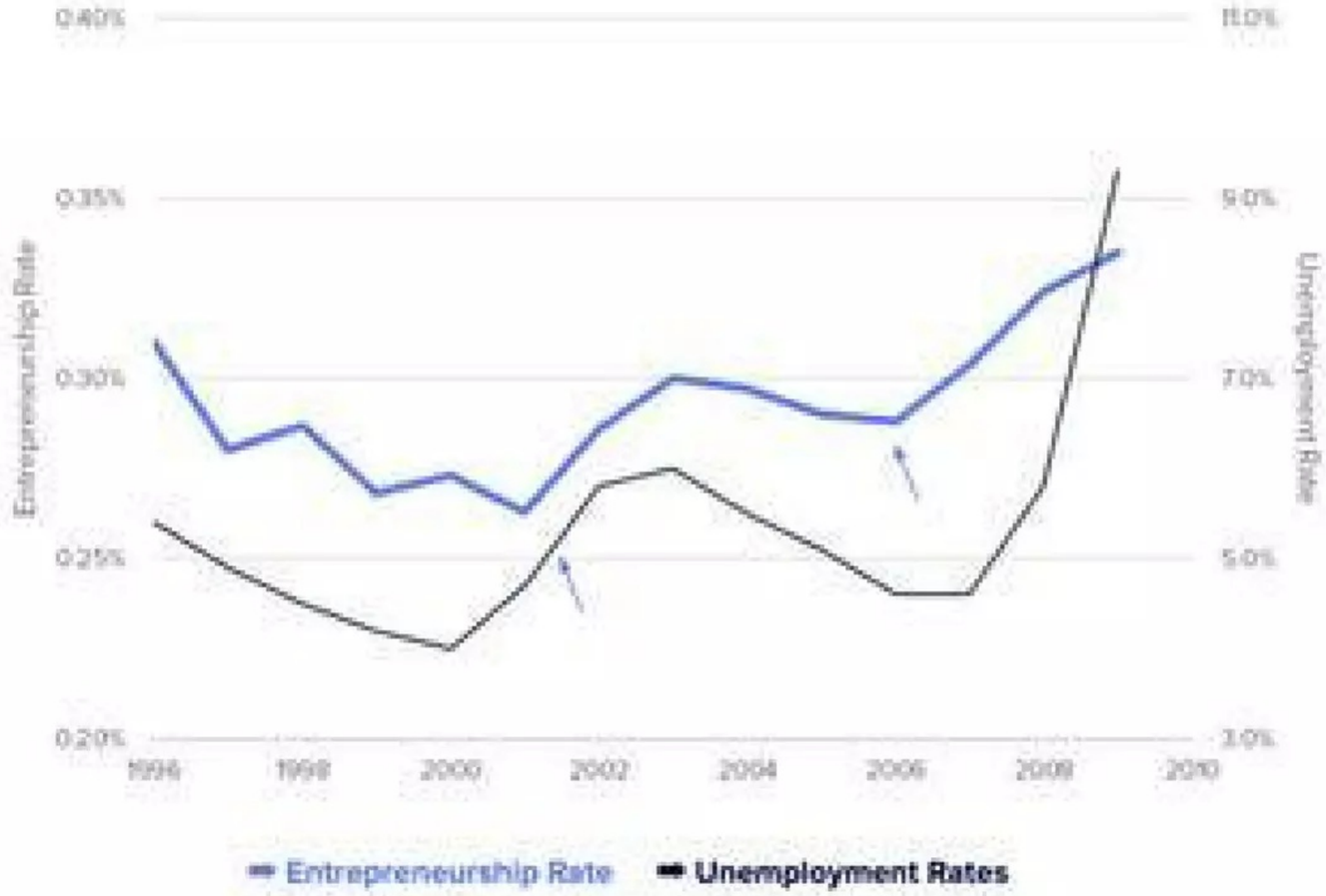
59 million Americans freelanced last year[1]

Representing **36%** of the U.S. workforce, they earned an estimated **$1.2 trillion last year**[2]



A boom in entrepreneurship

As unemployment rates increased through the recessions in 2000 and 2008, rates of **entrepreneurship** also spiked.



Source: "Entrepreneurship, Economic Conditions, and the Great Recession" by the Journal of Economics & Management Strategy, 2013



Online Store



Physical Store



No Store

We're addressing the largest category

Service-based businesses represent 50% of freelance work*

30M

Sell Services

17M

Sell Goods







Online Store

Physical Store

No Store

*https://www.standard.co.uk/news/freelance-forward-2020

Their inventory is time

30M

Sell Services

Marketers • Photographers • Graphic Designers • Business Consultants • Musicians • Web Designers • Planners • Cinematographers • Visual Artists • Makers & Artisans • Coaches • Stationers • Caterers Calligraphers • Hair • Makeup • Florists • Interior Designers • Software Developers • Copywriting • Accounting • Architects • Sports Agents • Entertainment • Advertising Agencies • Market Researchers • Dog Training • Doula • Decorator • PR Firms • Translation Services • Landscape Designers • Book Publishing • Administrative ...



Online Store



Physical Store

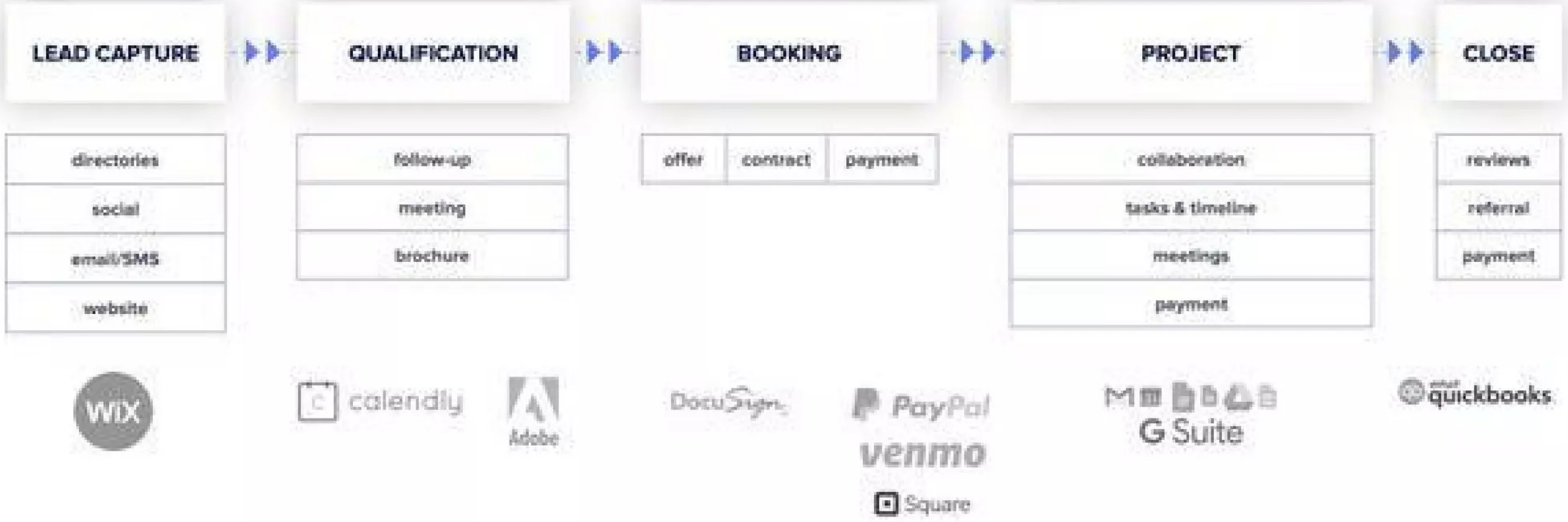


No Store

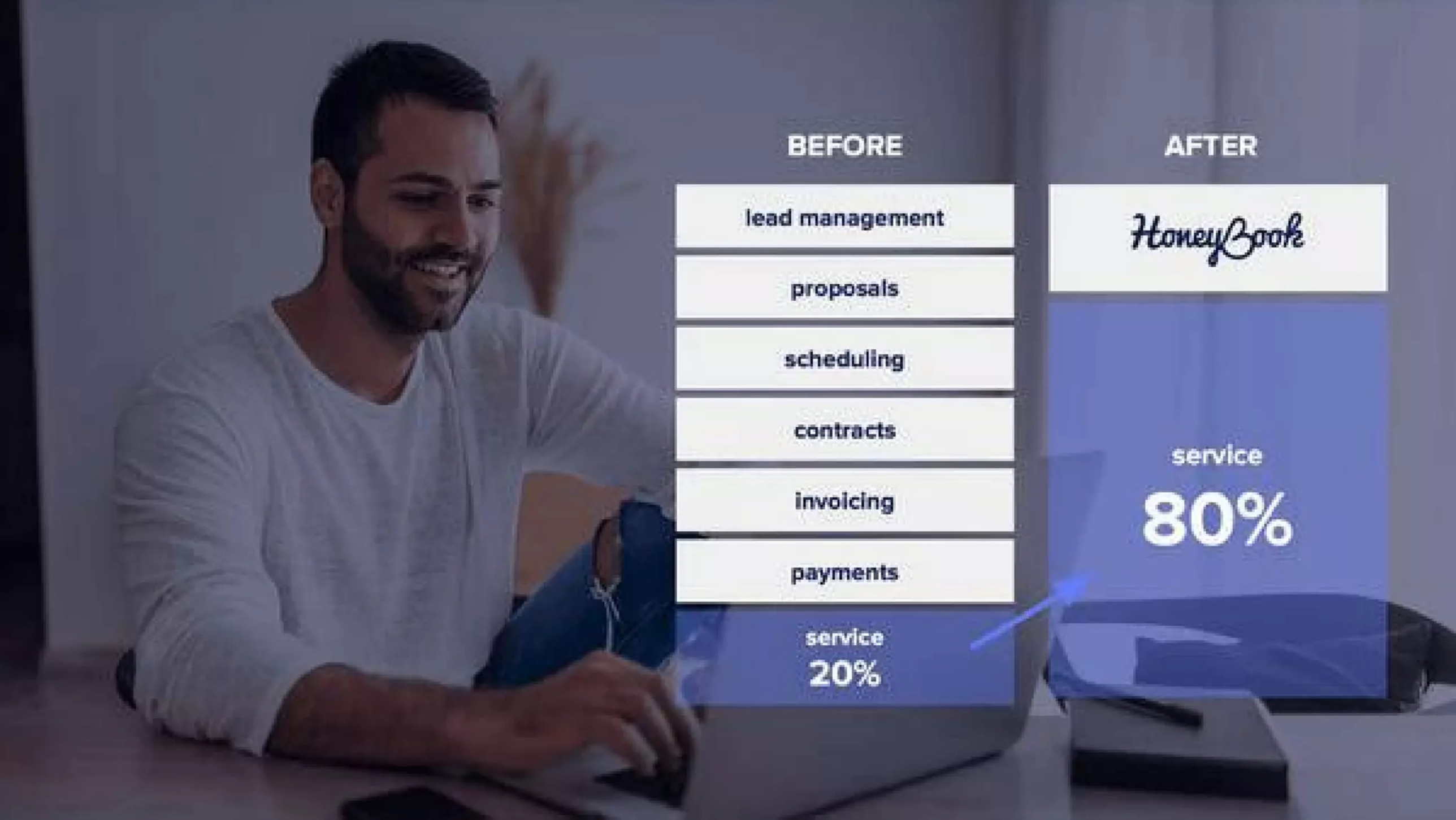
*https://www.slideshare.net/Upwork/freelance-forward-2020


They spend
most of their
time on client
& business
management

Point solutions lead to a fragmented process for members and clients



Although many of these points solutions are great at what they do, trying to stitch them together into an integrated experience is nearly impossible for small businesses to manage and the fragmented experience is not appealing to their clients either


BEFORE
lead management
proposals
scheduling
contracts
invoicing
payments
service
20%
AFTER
HoneyBook
service
80%

Pay-as-you-grow Business Model

Our revenue model combines subscriptions and transactions so as our members' business grows, our revenue grows. As a result, our average dollar retention rate is well over 100%

Subscription Revenue

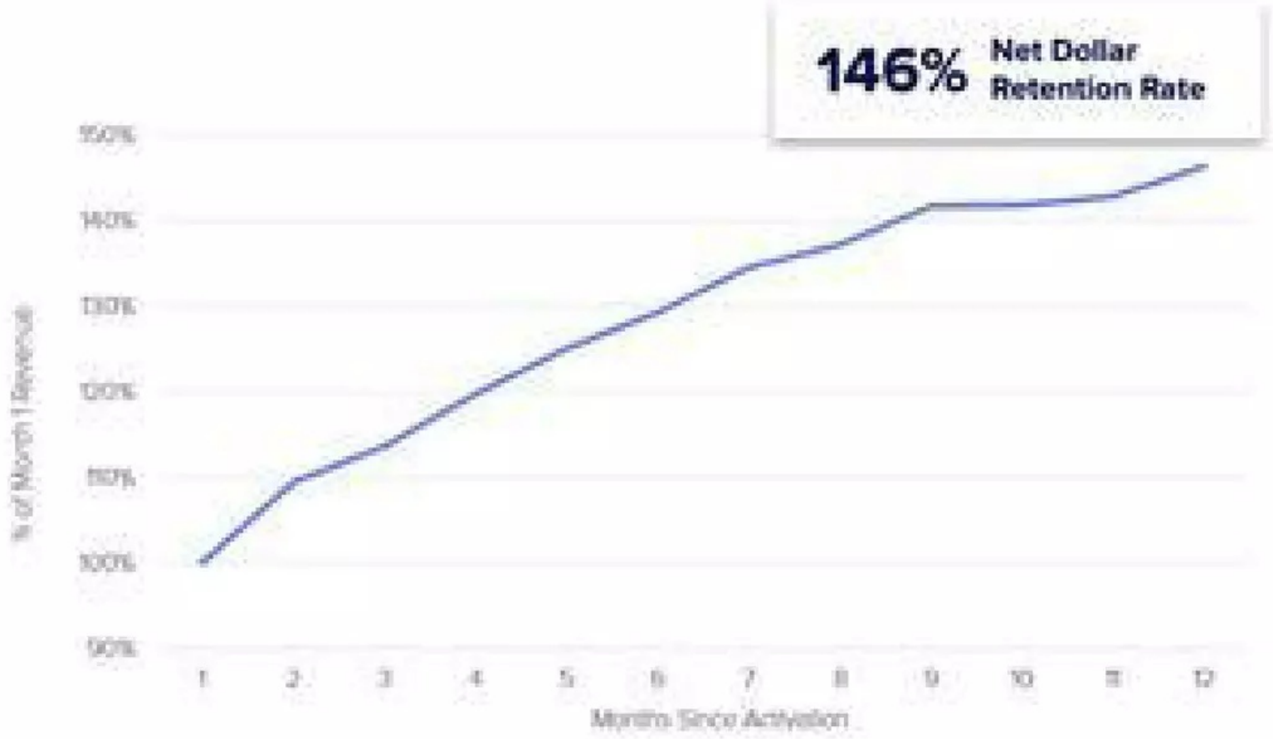
$40 /Month

Transaction Revenue

3% Card fee

Best in Class Dollar Retention

Average of all cohorts older than 1 year.
Revenue generated from a specific cohort as a % of their revenue in month 1



Median Dollar Retention Rate For Public Companies*: 117%

shopify 100%

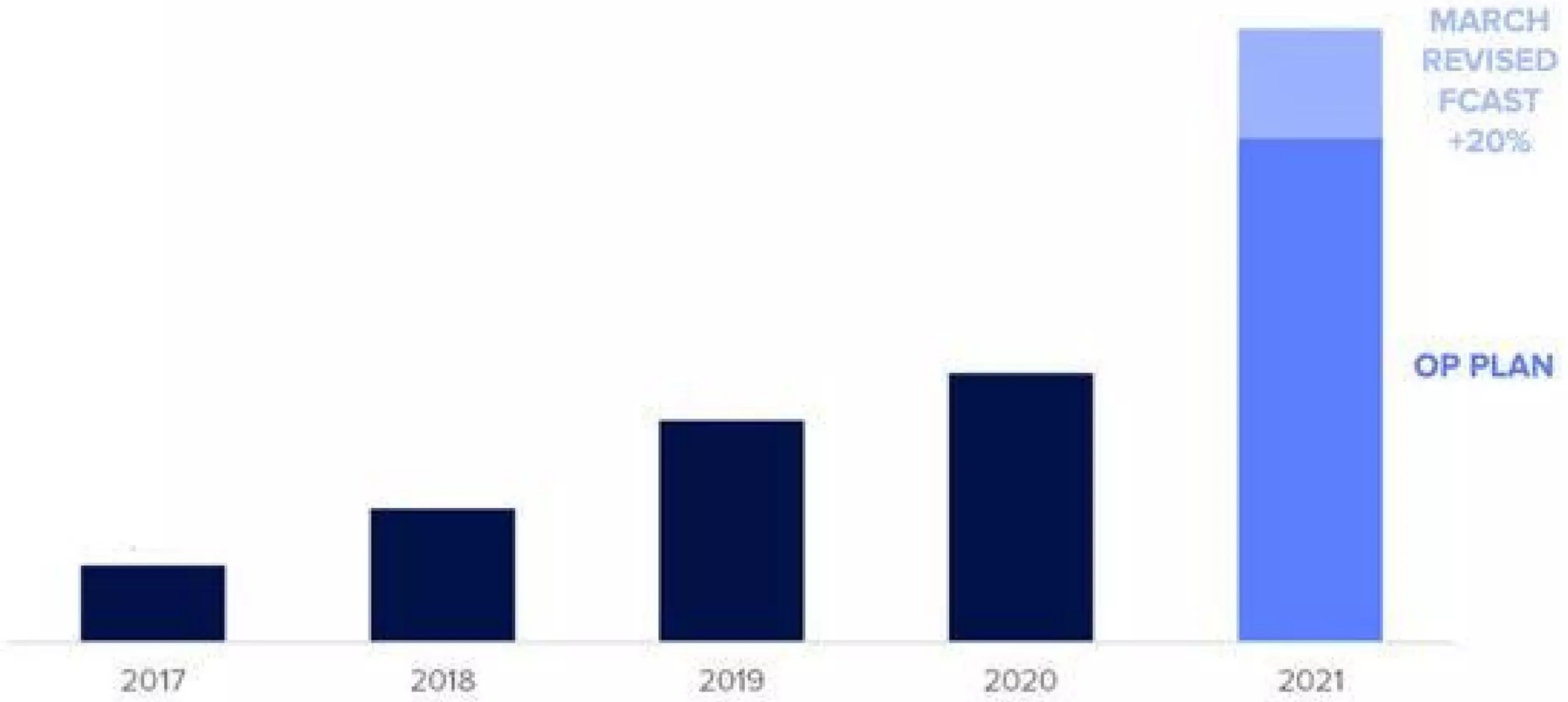
bill.com 121%

*https://www.meritechcapital.com/public-comparables/enterprise#OperatingMetrics

Active members crossed an inflection point in July 2020



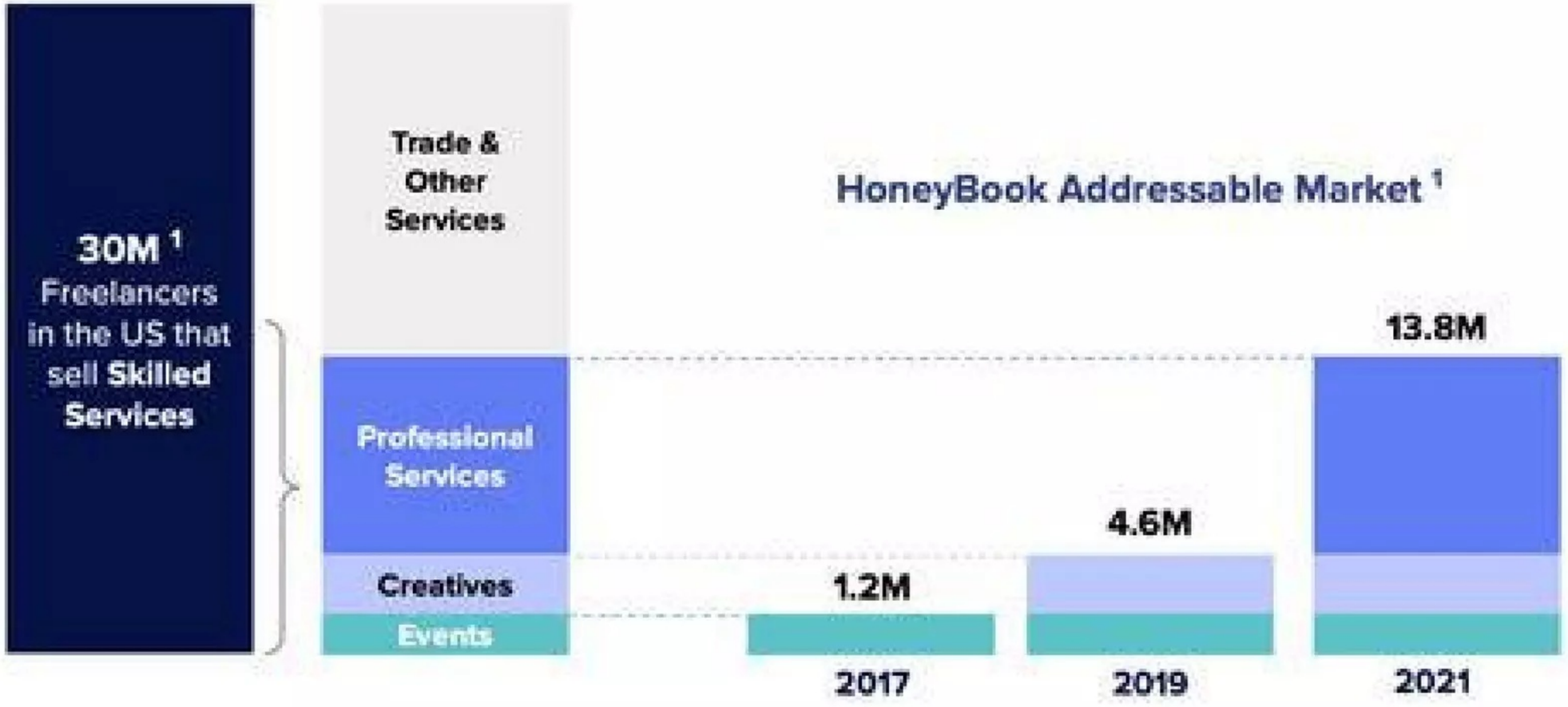
This inflection point is driving GAAP revenue growth from 2020 to 2021



In the first three months of the year we are already on pace to beat that plan and are accelerating ahead of it



By expanding our vertical focus beyond creatives, we increased our addressable market by 3x



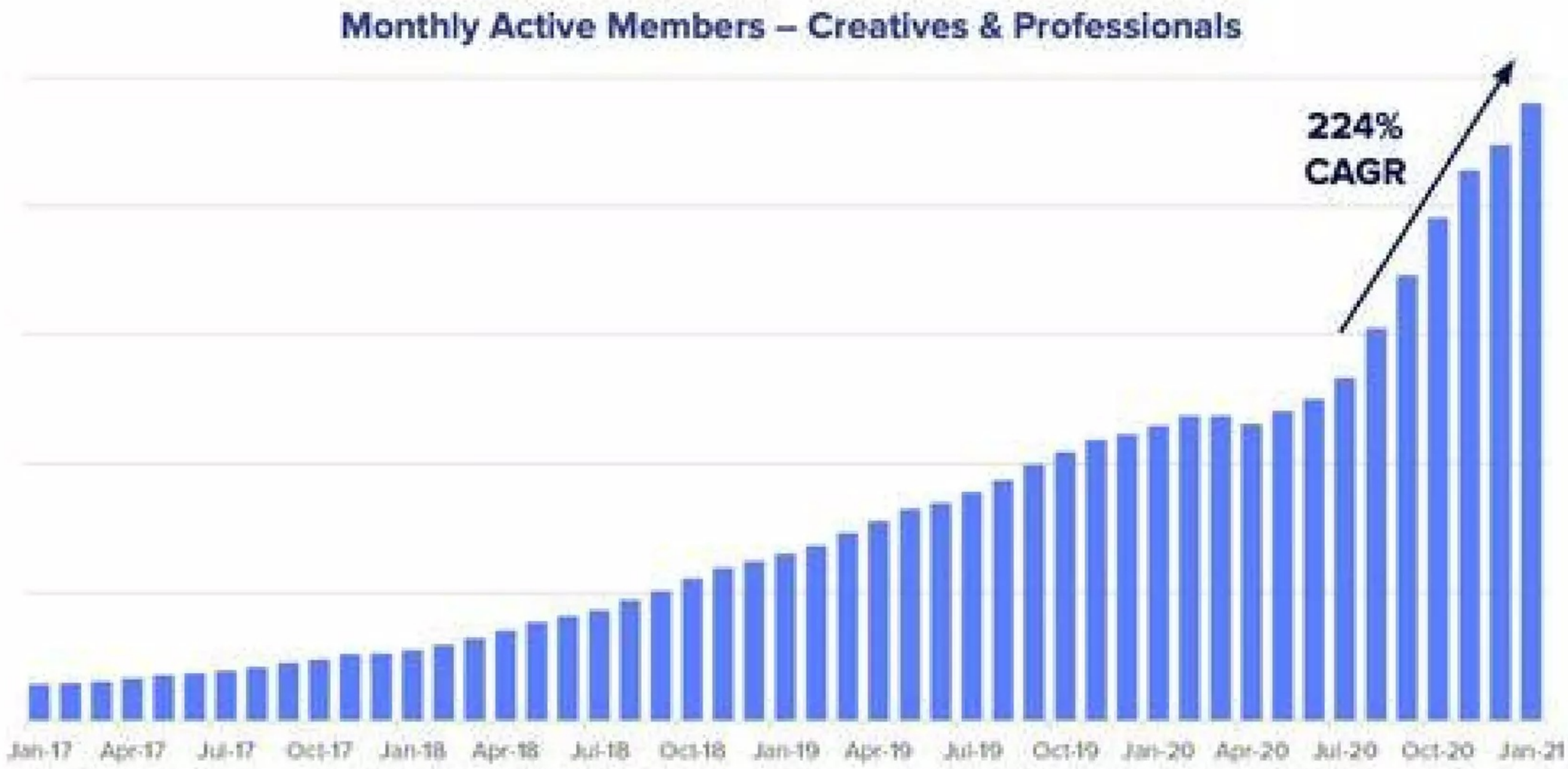
1. https://www.upwork.com/i/freelancing-in-america/2018/ and internal company analysis

Vertical expansion is fueling growth in active members

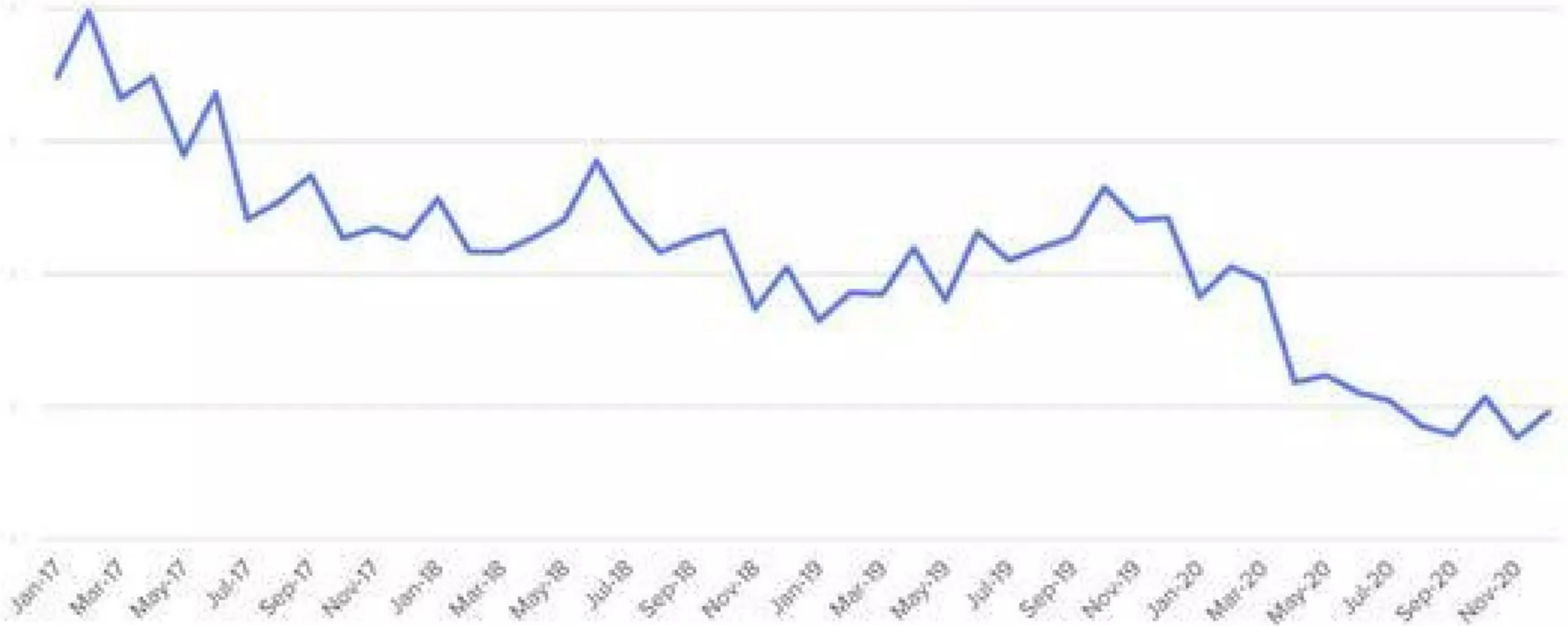
Monthly Active Members by Type



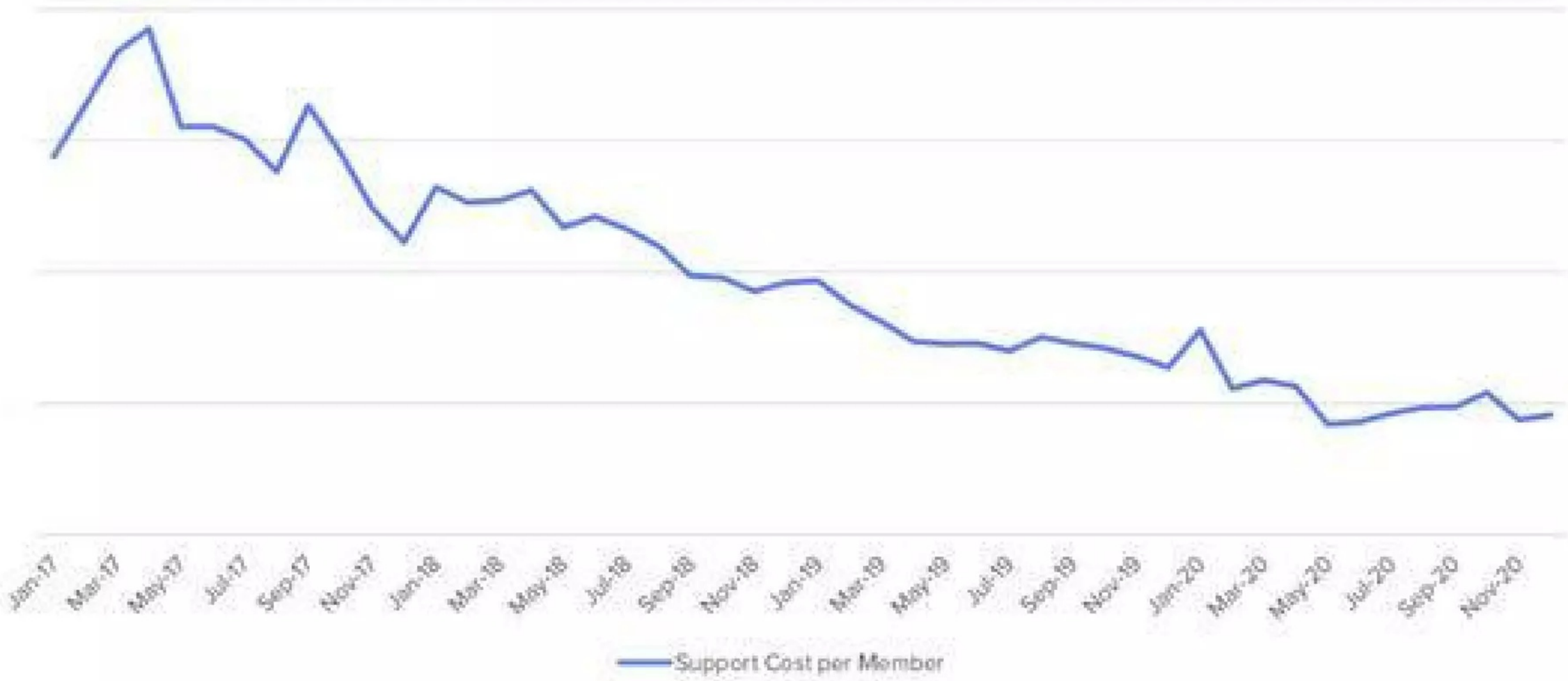
Creatives and Professionals are growing exponentially



CAC has steadily decreased over the past four years while accelerating customer acquisition



Operational efficiencies have driven support cost per member to an all time low



NPS of 75 among Active Members

"Thanks so much for this welcome! I absolutely LOVE LOVE LOVE HoneyBook! A professional appearance to clients is really important to me and HoneyBook is like a one stop shop!"

—Social Media Consultant HoneyBook Member

THANK YOU!



Join our mission to empower service-based businesses to rise together, doing what they love.

@HoneyBook